Canada and New Zealand set to raise rates as the Fed holds

> Five major central banks announce decisions this week. Canada and New Zealand are expected to raise rates, while the US Federal Reserve, the European Central Bank and the Bank of Japan are expected to hold.

WHAT HAPPENED

- **US Fed:** expected to hold at 3.75–4.00%. 94 of 100 economists in a Reuters poll forecast a hold, although some markets still bet on later rises.
- **Bank of Canada:** markets price about an 80% chance of a 0.25-point rise to 2.50%.
- **RBNZ:** a rise to 3.00% is widely expected. Most NZ banks forecast it, but Westpac expects a hold at 2.75%.
- **ECB** and **Bank of Japan** (1.25%) are expected to hold. The BoJ raised rates in September.
- US 10-year bond yields fell below 5% on Friday as tech shares sold off.

BY THE NUMBERS

3.75–4.00%
US Fed funds target (expected hold)

2.50%
Bank of Canada expected rate

3.00%
RBNZ expected rate

4.60%
RBA cash rate, for comparison

KEY TERMS

Interest rate differential: the gap between rates in Australia and overseas.

Capital flows: money moving between countries in search of returns.

Tightening cycle: a series of interest rate rises to curb inflation.

COMPARE

This week's central bank decisions

CENTRAL BANK	DAY	CURRENT RATE	EXPECTED
US Federal Reserve	Wed	3.75–4.00%	Hold
Bank of Canada	Wed	2.25%	Rise to 2.50%
Reserve Bank of New Zealand	Wed	2.75%	Rise to 3.00% (Westpac: hold)
European Central Bank	Thu	—	No rise expected
Bank of Japan	Fri	1.25%	Hold

Exam angle: if overseas rates rise faster than Australia's, the **interest rate differential narrows**. Fewer capital inflows means less demand for the AUD.

FLOW CHART

How other countries' rate decisions reach Australia

Overseas rates rise → Rate gap with Australia narrows → Less capital flows into AUD assets → AUD tends to depreciate → **Import prices rise in Australia**

SYLLABUS LINK

TOPIC 1: global financial flows. It links to **TOPIC 2** (exchange rate determination) and **TOPIC 4** (monetary policy).

TRY THIS

Explain how interest rate rises overseas could affect the value of the Australian dollar and Australia's inflation. **(4 MARKS)**

Articles: Newsquawk, 'Week in Focus 26–30 October 2026' — https://newsquawk.com/headlines/week-in-focus-26-30th-october-2026-fomc-boc-rbnz-ecb-boj-policy-decisions-us-pce · ABC News, 'ASX edges up at close...' markets blog, 23 Oct 2026 — https://www.abc.net.au/news/2026-10-23/asx-markets-business-news-live-updates-oct-23/107291840

Days are local release days and may fall overnight in Sydney. Figures as previewed on 23–24 Oct.